Review • Full-history screen

VZ • VERIZON COMMUNICATIONS INC

Telephone Communications (No Radiotelephone) • NYSE

📄 Latest 10-K filed 2026-02-17 • 📈 View on Yahoo Finance ↗

REVIEW

DECISION	SELECTED P/NFCF
Review	10.0x
FCF YIELD	**EVIDENCE CONFIDENCE**
10.0%	Complete

Review: 10.0x normalized FCF, 5.7% dividend yield, positive FCF in 100% of years. Why not Idea: Failed: Net debt/nFCF exceeds the limit.

Why this is not an Idea

- Failed: Net debt/nFCF exceeds the limit

Market data 9/17/2026, 4:00:02 PM **Financial period** 2025-12-31 **Latest insider purchase** none found

Valuation concerns

What could distort the price or multiple

1

- Failed screen: Net debt/nFCF exceeds the limit

Quality concerns

Operating, capital-allocation, or eligibility flags

3

- Recent SBC history was recovered from the inline annual filing.
- SEC CapEx facts appeared to capture acquired intangibles rather than operating capital expenditure; Yahoo annual CapEx less acquired intangibles was used for overlapping years.
- Extreme annual FCF margin detected in: 2020.

01 Decision metrics

Valuation and cash-flow quality

Click any metric to inspect its calculation

PRICE	MARKET CAPITALIZATION	NORMALIZED FCF	ECONOMIC NFCF (POST-SBC)
$48.33	$200.80B	$20.02B	$19.29B

P/NFCF	P/ECONOMIC NFCF	EV/UNLEVERED NFCF	NORMALIZED FCF YIELD
10.0x	10.4x	14.4x	10.0%
ECONOMIC FCF YIELD	**CURRENT DIVIDEND YIELD**	**5-YEAR AVERAGE DIVIDEND YIELD**	**INSIDER ACTIVITY**
9.6%	5.7% $2.83 indicated annual dividend	— Historical context; not a screening criterion	No recent buying found 0 purchase records in 6m
FCF TRAJECTORY	**BUYBACK AUDIT**	**CAPEX / D&A**	**NET DEBT**
Stable	No Buybacks No major repurchases	90%	$141.70B
NET DEBT/NFCF	**SHORT-TERM DEBT**	**USABLE HISTORY**	
7.1x	$441.00M	10 years	

02 **Supporting analysis**

Evidence and expectations

Detailed audit trail

Owner Returns & Dividend Safety

Cash returned to owners, adjusted for repurchases and stock compensation

DIVIDEND COVERAGE	5Y DIVIDEND GROWTH	SHAREHOLDER YIELD	YIELD COMPONENTS
Strong coverage 57.4% of normalized FCF	1.9% 10 annual periods without a cut	— Dividend + gross buybacks − SBC	5.7% / — / −0.4% Dividend / buyback / SBC yields
VALUATION HISTORY	**52-WEEK DRAWDOWN**		
Expensive vs. history 100th percentile reported P/FCF	-6.5% High: $51.68 • Low: $38.39		

Insider Purchase Evidence

Yahoo Finance insider transactions • No recent buying found

No qualifying open-market purchase records were available in the recent transaction feed.

A purchase can align with a low valuation, but the filing does not disclose that cheapness was the insider's motive.

Visual FCF Waterfall Bridge

52% FCF CONVERSION

Decomposing Operating Cash Flow into Economic Free Cash Flow



- Operating Cash Flow: **$37.14B (100%)**
- CapEx (PP&E + Intangibles): **-$17.01B (46%)**
- Stock-Based Comp: **-$815.00M (2%)**
- Economic FCF: **$19.31B (52%)**

Reverse DCF & Expectations Investing

Priced-In Growth: **+5.3% / yr**

What cash flow growth does the current market price require?

CURRENT P/NFCF MULTIPLE	ASSUMED HURDLE RATE	PRICED-IN 5Y GROWTH	FCF TRAJECTORY
10.0x	9.0%	+5.3%	Stable
Selected-lookback Market Cap / nFCF	2.5% terminal growth; 5-year forecast	Modest compound growth	3Y vs. baseline margin trend

Normalized Margin Architecture (50/50 Equal Weighting)

Simple average margin

14.5%

Arithmetic mean of 10 annual margins

Volume-weighted margin

14.5%

Total FCF ($191.52B) ÷ Total Rev ($1.32T)

50/50 Blended margin

14.5%

Applied to current revenue ($138.19B)

Annual Filing Evidence

PERIOD	REVENUE	OCF	CAPEX	STANDARD FCF	SBC	ECONOMIC FCF	D&A	SHARE COUNT
2025	$138.19B	$37.14B	$17.01B	$20.13B	$815.00M	$19.31B	$18.35B	4.23B
2024	$134.79B	$36.91B	$17.09B	$19.82B	$795.00M	$19.03B	$17.89B	4.22B
2023	$133.97B	$37.48B	$18.77B	$18.71B	$533.00M	$18.18B	$17.62B	4.22B
2022	$136.84B	$37.14B	$23.09B	$14.05B	—	—	$17.10B	4.2B
2021	$133.61B	$39.54B	$20.29B	$19.25B	—	—	$16.21B	4.15B
2020	$128.29B	$41.77B	$3.90B	$37.87B	—	—	$16.72B	4.14B
2019	$131.87B	$35.75B	$898.00M	$34.85B	—	—	$16.68B	4.14B
2018	$130.86B	$34.34B	$18.09B	$16.25B	—	—	$17.40B	4.13B
2017	$126.03B	$24.32B	$17.83B	$6.49B	—	—	$16.95B	4.09B
2016	$125.98B	$21.69B	$17.59B	$4.10B	$400.00M	$3.70B	$15.93B	4.09B

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Lookback Range Comparison (10Y vs. 5Y vs. 3Y)

Compare long-term structural power against recent medium-term cash flow trends

FULL HISTORY (10Y) MARGIN	5-YEAR BLENDED MARGIN	3-YEAR BLENDED MARGIN	5Y MULTIPLE VS. 10Y
14.5%	13.6%	14.4%	10.7x
nFCF: $20.02B	nFCF: $18.77B	nFCF: $19.92B	P/nFCF (5Y lookback)

Sources and Methodology

Financials: **SEC Company Facts with targeted reconciliation**. Price: **Yahoo Finance live balance sheet & quote**. Analyzed 9/17/2026, 6:32:06 PM.

Debt: **SEC debt reconciliation**. Cash: **SEC cash and liquid investments**. Hover an annual period to inspect the exact XBRL concepts used for that year.